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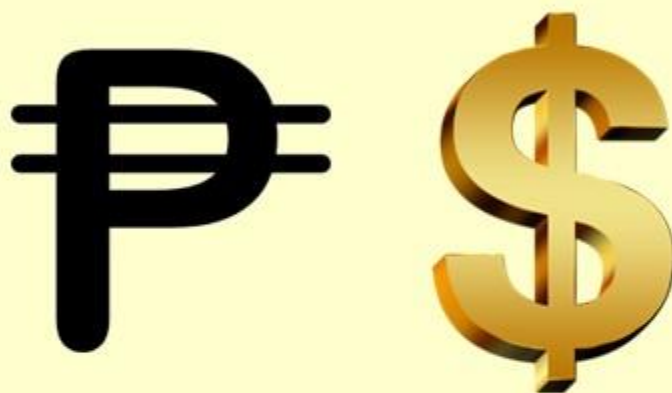
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NEWSPAPER

6th Sept, 2018

ITEM WISE EDITORIALS

36th WEEK



INHERENT WEAKNESS IN EMERGING ECONOMIES

UPSC CSE – GS II

GS II ... International Relations



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NEWSPAPER EDITORIALS ... DISCUSSION

6th SEPTEMBER, 2018

4

Hard times again for the peso

Understanding the economic turmoil in Argentina

SRIRAM LAKSHMAN

What is happening with Argentina's economy?

Argentina's currency, the peso, has lost approximately 50% of its value this year and 25% in August alone, falling to new lows on Monday as confidence in the currency continued to drop. Earlier this week, President Mauricio Macri asked the International Monetary Fund (IMF) to accelerate the disbursement of a \$50 billion loan, on the premise that the money could be used for servicing debt and intervening in currency markets. Mr. Macri said that a lack of confidence in the peso and inflation of around 30% had compelled him to do this. The IMF had already disbursed a tranche of \$15 billion in June. Most of Argentina's debt is dollar denominated and the growing weakness of the peso against the dollar has been a cause for concern to markets.

What has been the response?

Argentina's central bank announced last week that it was increasing the quantum of reserves banks would have to hold, and it hiked interest rates to 60%, to rein in inflation and increase investor confidence in its currency (higher interest rates attract more capital). The administration announced "emergency" austerity measures on Monday, including temporary increases in export taxes on certain raw and processed agricultural goods; soymeal, soya bean and corn represent a large chunk of exports (over 30% in 2016).

Also in the works are a 27% cut in capital spending and closing down and consolidation of ministries (from 19 to 10). The centre-right Macri administration has said it will have a balanced budget next year and a budget surplus of 1% by 2020 – significantly more ambitious than the 1.3%

budget deficit target set by the IMF as part of the bailout agreement. The taxes are a noticeable departure from the free market platform on which Mr. Macri started his presidency in 2015, a theme that ran counter to years of intervention by his predecessors, Cristina Fernandez de Kirchner (2007-2015) and her husband Néstor Kirchner (2003-2007).

What is the bigger picture?

Argentina is no stranger to financial crises (including the 2001 crisis). Years of populist policies under the Kirchners coupled with controls on the exchange have again unsettled an economy that had benefited from the commodity boom, creating persistent fiscal and current account deficits and high inflation. The U.S.'s interest rate hikes and an appreciating dollar have exacerbated the troubles of several emerging markets, including Turkey and Argentina.

4 Hard times again for the peso

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UPSC CSE – GS II**GS II ... International Relations**

Effect of policies and politics of developed and developing countries on India's interests, Indian diaspora.

IMPORTANT QUESTION**ESSAY/ MAINS / GD / INTERVIEWS**

Critically analyze the inherent weaknesses in the "Emerging Economies", which ultimately affect these Countries in the present day globalized era.



North Pacific Ocean

North Pacific Ocean

North Atlantic Ocean

South Atlantic Ocean

South Pacific Ocean

CANADA

UNITED STATES

MEXICO

Gulf of Mexico

Caribbean Sea

VENEZUELA

COLOMBIA

PERU

BRAZIL

BOLIVIA

Buenos Aires

ARGENTINA

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Mauricio Macri,
President, Argentina



NEWS REPORT

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- Most of Argentina's debt is dollar denominated and the growing weakness of the peso against the dollar has been a cause for concern for the markets.
- Decrease in the farm exports, high energy prices and stronger dollar has prompted many to pull funds from the Country.

IMF asked the country to tackle its large fiscal deficit, a goal usually achieved by reducing the Govt. spending.



PROBLEMS IN GENERAL IN EMERGING ECONOMIES

- A weak banking sector
- High fiscal deficit
- High current account deficit
- Substantial short-term foreign currency debt
- High dollar-denominated debt
- Inadequate foreign reserves
- Reliance on commodity exports
- Corruption
- Institutional weakness
- Poor political and economic leadership
- Reliance on imports
- Poor capacity augmentation
- More revenue spending with subsidies
- More prominence to public sector

WHAT WENT WRONG WITH ARGENTINA?

- 1** Argentina has been plagued by economic problems for years, but the commodities boom of the past decades helped the country repay the money it owed the IMF.
- 2** It cleared the entire debt by 2007, it began to stabilise under President Nestor Kirchner, who governed from 2003 to 2007.
- 3** It became more shaky under his wife and successor, Cristina Fernández de Kirchner during 2007 to 2015.
- 4** Her Govt. raised public spending, nationalized companies and heavily subsidised many items of daily life.
- 5** It controlled the exchange rate, it created all sorts of practical problems, including giving rise to black market for dollars and heavily distorting prices.



The new President Macri started reversing these measures but, it is already too late.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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Learning Space

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